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Reconsidering capitalism: the promise of social innovation and social entrepreneurship?

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Abstract
This special edition explores and analyses the complexities and possibilities of social enterprise and social innovation. While these related concepts have been subject to considerable research, policy and practitioner attention, detailed empirical studies of the processes involved, the impact of social enterprises, the effects of social innovations and the motivations of social entrepreneurs, and those with whom they partner, are rare. The articles which follow present fresh evidence to provide contemporary insights into: the role of risk in shaping the effectiveness of social enterprises; the mediating function of not-for-profit organisations in the process of social innovation; the relevance of local embeddedness and sociocultural context; and the practice of social entrepreneurship within fluctuating and difficult environmental circumstances. These articles provide convincing examinations of and insights into social enterprise and social innovation which, at times, challenge dominant state within the 'mainstream' entrepreneurship discourse. Individually, they offer recommendations for future research and collectively, identify a research agenda for developing knowledge about social entrepreneurship and social innovation.

Keywords
Social entrepreneurship, social innovation

Introduction

Interest and involvement in social enterprise and social innovation has been growing since the late 1990s and, given the current fragile state of the global economy, both are the focus of considerable research, policy, practitioner and educational interest. As such, the publication of this special issue

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is timely. The reasons for such interest, especially on the part of governments and policymakers, has been much debated, with both the UK coalition government's notion of a 'Big Society' and, in the USA, President Obama's Social Innovation Fund, receiving particular critical commentary. In the European Union, social innovation has been decisively incorporated into two major policy documents: the EU 2020 Strategy for smart, sustainable and inclusive growth, and the EU budget; social entrepreneurship is being promoted as part of the agenda to improve the European economy and create employment (Hubert, 2012).

We wish to open this special issue by considering the dichotomy of social enterprise and questioning whether, together with studies of social innovation, research on social enterprise might contribute to discussions of how capitalism can be reconsidered (Hardt and Negri, 2000; Harvey, 2010; Krugman, 2009, 2013; McCaffrey, 2009; Mackey et al., 2013; Porter and Kramer, 2011). The dichotomy to which we refer is whether social enterprises present a genuine alternative to their profit-seeking counterparts, or whether they play into the hands of neo-liberal governments whose commitment to reduce public expenditure is regularly manifest in the curbing of state provision of, and support for, social, educational, environmental and healthcare concerns. As a genuine alternative, it can be argued that social enterprises comprise a significant part of a middle ground or 'third sector', which bridges both the private and public sectors by meeting the welfare needs of growing numbers of individuals and families affected by inequalities created by growing disparities in wealth distribution. Challenging this is the view that as enterprise and entrepreneurship are the bedrock of capitalist societies (Schumpeter, 2011[1947]), the use of entrepreneurial behaviours and the establishment of entrepreneurial ventures that seek to address social rather than personal financial needs is well aligned with, and indeed promoted by, neo-liberal ideologies which espouse the benefits of transferring the control of resources away from state ownership.

Regardless of whether we agree that social enterprise is driven by neo-liberal policies or offers an alternative to capitalism 'red in tooth and claw', that entrepreneurial actions and behaviours are increasingly used to address social and environmental concerns, and that ventures combining financial with social objectives are growing in significant numbers, have important implications for entrepreneurship research. Significantly, given that entrepreneurship scholars including Welter (2011) and Zahra (2007) have spearheaded the recognition that context matters, these trends indicate that the social context in which entrepreneurship is manifest demands ongoing robust theoretical and empirical examination. We argue that by researching entrepreneurial behaviours and actions, including innovation within the context of social enterprise, not only will we learn about the extent to which this context supports or restricts entrepreneurship, but it is likely that such studies will have implications for the wider entrepreneurship discourse. This critical strand of debate will contribute to what is known and understood about entrepreneurship, and challenge existing preconceptions about entrepreneurs, the organisations that they establish and grow, the processes in which they engage and the communities in which they are embedded. The articles included in this special issue seek to do just that.

Social enterprise and the related concept of social innovation are much debated, with significant energy having been devoted to their definition and meaning. We do not intend to contribute to these particular debates, leaving this to discussions presented in other articles included in this special issue (Chalmers and Balan-Vnuk; Luke and Chu). However, it is worth offering a few facts which emphasise the significance of social enterprise. For example, within the UK, the Annual Survey of Small Businesses in 2010 estimated that there were approximately 68,000 social enterprises contributing at least £24bn to the economy, employing an estimated 800,000 people. The UK Social Enterprise Coalition (2011) suggested that the sector is actually larger than official statistics indicate, and recent research undertaken by Social Enterprise UK in 2011

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supports this view. This study finds that 14 percent of all UK social enterprises are new start-ups (less than two years): three times the proportion of private sector start-ups; they are more likely to experience growth (58%) compared to private sector firms (28%); and are more confident about the future, with 57 percent compared to 41 percent predicting growth over the next year. In Australia, the social enterprise sector is mature and sustainable, with up to 20,000 social enterprises (Barraket et al., 2010). Such buoyancy is reflected in other economies including, for example, Finland, Italy and Sweden, yet contrasts with others including Denmark and Greece, which have comparatively few social enterprises (Borzaga and Defounry, 2001). This suggests that while social enterprises are on the rise globally, this growth is not distributed evenly. Research on the emergence and scale of social enterprise (Borzaga and Defourny, 2001) also indicates that statistics about such ventures' and their social innovations are incomplete, with few official figures able to provide a detailed understanding of their scale, size and impact. Given this, the empirical evidence about social enterprises, social entrepreneurs and social innovation in Australia, New Zealand, Vietnam and the UK discussed in the articles included in this issue contribute to a growing, yet incomplete, repository of knowledge about the global phenomena of social enterprise and social innovation.

Articles in this special issue

Following a general call for papers, 27 manuscripts were received. From those sent for full review, seven author teams were invited to revise and resubmit. From these, four papers were accepted for publication in this special issue. Each submission was reviewed according to standard *International Small Business Journal* procedures; a summary of the articles is provided in Table 1.

Each of these articles addresses a particular research question or aim that is relevant to enhancing understanding of social enterprise or social innovation. Luke and Chu question whether all social enterprises are necessarily entrepreneurial in nature, while Chalmers and Balan-Vnuk explore the process of innovation within the context of socially innovative ventures. Maclean, Harvey and Gordon seek to shed light on how the sites and spaces of socially innovative philanthropic projects may have a bearing on their success, and Lewis is interested in understanding the practice of creating a socially entrepreneurial solution during a time of natural disaster, particularly the processes of interactions involved. Despite social entrepreneurship having been described as theoretically 'embryonic' (Short et al., 2009) and as lacking 'compelling theoretical foundations' (Nicholls and Cho, 2006: 115), the articles included in this special issue reflect a depth and variety of theoretical sophistication. Importantly, they provide convincing evidence of the value of employing established theoretical lenses through which to examine emerging phenomena, create new knowledge and contribute to theory development, rather then reinventing a 'conceptual wheel'. Specifically, this special issue includes articles which make use of creative destruction, involving innovation and risk (Schumpeter, 1934), absorptive capacity (Cohen and Levinthal, 1989), the evolutionary economic concept of organisational routines (Lewin et al., 2011) and Collins' (2004) interactional ritual chain theory as theoretical lenses through which to advance knowledge, understanding and theory pertaining to social enterprise and social innovation.

Aligning with observations about the theoretical immaturity of social enterprise research is commentary on the 'pre-paradigmatic' nature of studies of the phenomena, and the suggestion that appropriate methodologies have yet to be identified (Nicholls, 2010). In this respect, the articles included suggest an alternative, indicating high degrees of methodological rigour and erudition. Common to each is the use of theory-building methodologies, with both Luke and Chu and Chalmers and Balan-Vnuk employing the multiple case study approach advocated by Eisenhardt

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Table 1. Summary of articles accepted for publication.

Author(s)	Research question/aim	Theoretical perspective	Context	Research methods	Key findings
Luke and Chu	Are social enterprises always entrepreneurial?	Entrepreneurship as innovation, risk and creative destruction	Vietnam	Multiple case study of 10 non-governmental organisations (NGOs) operating micro-enterprise development programmes in Vietnam	Distinctions between NGOs, with some applying traditional approaches to micro-enterprise development, and others adopting innovative, entrepreneurial approaches to address growing social problems, suggesting that not all social enterprises are necessarily entrepreneurial
Chalmers and Balan-Vnuk	How do not-for-profit ventures pursuing socially innovative activities develop the necessary capabilities to innovate?	Absorptive capacity and organisational routines	Australia and the UK	Multiple case studies of 14 innovative not-for-profit ventures in Australia and the UK	Innovative not-for-profit ventures play a unique mediating role in the social innovation process by configuring internal and external absorptive capacity routines to combine user and technological knowledge flows
Maclean, Harvey and Gordon	To shed light on how the sites and spaces of socially innovative philanthropic projects may have a bearing on their success	Community engagement as a form of social innovation	North-east England	In-depth longitudinal case study of the Community Foundation for Tyne and Wear and Northumberland in north- east England	Community engagement of social innovators, and the power of self-organisation by committed local actors, are important for the success of locally targeted, innovative philanthropic ventures
Lewis	Narrative analysis of the practice of creating a socially entrepreneurial solution during a time of natural disaster	Collins' interaction ritual chain theory	Creation of the Student Volunteer Army by a young social entrepreneur (Sam Johnston) during the 2010–2011 Christchurch, New Zealand earthquakes	Social constructionism involving narrative analysis of multiple in-depth interviews and reviews of online blogs and news features published by newspapers, magazines and radio stations	The emotion and power generated via chains of interaction rituals (within and beyond the socially entrepreneurial Student Volunteer Army) had significant impact and positive outcome spillovers

(1989). Maclean, Harvey and Gordon present a single, in-depth longitudinal case study involving life story interviewing: a particular approach to case study research which, as Eisenhardt and Graebner (2007) argue, has the advantage of enabling researchers to tell a better story. Lewis makes use of the narrative analysis of multiple in-depth interviews and reviews of online blogs and news features published by newspapers, magazines and radio stations relating to the establishment and effects of the Student Volunteer Army created by social entrepreneur Sam Johnston in the wake of the earthquakes which affected Christchurch, New Zealand in 2010 and 2011. This range of methods responds to calls for greater methodological multiplicity and an awareness of the importance of temporal dimensions when researching entrepreneurship (Blackburn and Kovalainen, 2009; Gartner and Birley, 2002; Grant and Perren, 2002; Jennings et al., 2005; Zahra, 2007). Importantly, the methods used provide refreshing evidence of the methodological rigour, empirical insights and theoretical contributions possible when researchers favour alternative approaches that challenge the entrepreneurship discipline's preference for functionalism and its associated hypo-deductive approaches and quantitative methodologies. The breadth of theory-building methods employed is also revealing of a further dimension of the research included in this special issue commented on previously: the importance of context. The diverse settings from which this research is drawn indicate that not only is it relevant for entrepreneurship scholars to consider enterprise and entrepreneurial behaviours within a social context, but also that such a context is heterogeneous and that to advance knowledge, understanding and theory, it is relevant and appropriate to investigate entrepreneurship and social innovation within a variety of socio-economic, cultural, local, regional and political environments.

A research agenda for advancing knowledge about social innovation and social enterprise

Individually, each of the articles included in this special issue offer recommendations for future research. Building on these, we suggest a future research agenda which might consider the following.

'What is a social enterprise?' is the wrong question

Reflecting its emergent nature, researchers have concentrated more on some aspects of social enterprise and social innovation than on others. In particular, debate over how to define social enterprise is abundant, and has filled many column inches in academic journals, policy papers, newspapers, magazines, undergraduate dissertations and blogs. We argue that such debate is now saturated, and that consensus is forming around the idea that social enterprises engage in mainstream processes, activities and behaviours, including trading to make a profit, and that 'social' enterprises are distinguished from their 'mainstream' counterparts only with respect to how surpluses are used. This is principally for addressing social, educational, environmental and educational needs rather than satisfying demands for greater personal and family financial wealth. We recommend that research energies are diverted away from definitional considerations towards other facets of social enterprise and social innovation, including interactions between social enterprises, social innovations and the environments in which these are embedded. By engaging in research which explores the effects of context, process and the impact of social enterprise and innovation, policymakers and intermediary organisations will be better placed to develop informed policies and interventions which develop, support and sustain social enterprise and promote social innovation.

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Better facts and figures

The collection of official statistics outlining the size, scale and impact of social enterprise and social innovation is in its infancy. Presently, defining and measuring social enterprise is problematic, compounded by ambiguities regarding both the legal structure of social enterprises and the hidden activities of large numbers of locally embedded, micro-sized social ventures. Combined, this makes accurate recording of the scale and impact of social enterprise challenging. Particularly when engaging in international comparisons, the various nationally selected definitions and measures applied to social enterprise make such comparisons difficult and, at times, meaningless. The size and impact of social enterprise and social innovation on individual economies, as well as comparisons across national boundaries, will only be possible if statistics improve. Specifically, statistics which capture the scale of the sector, the size of the ventures of which it is comprised, the markets in which social ventures operate and the economic and social contributions that they make, will be relevant to informing policy and research. Related to this, as national datasets develop, sharing these will contribute much to developing a comprehensive understanding of social enterprises on a global scale.

Context

In order to develop depth as well as breadth of knowledge about social enterprise and social innovation, analytical frameworks that involve more than statistical comparisons are required. The articles in this special issue reflect the heterogeneous contexts in which social enterprise and social innovation can occur, and it is essential, if knowledge, understanding and theory relating to social enterprise and social innovation are to advance, that researchers continue to search for the diverse contexts in which these can be found. The effects of institutional (Welter, 2011), temporal (Phelps et al., 2007) and market environments (Wright and Marlow, 2012) have been identified as important dimensions of context which can assist and constrain entrepreneurial behaviours and actions. We identify the socio-economic history and prevailing political ideologies of different economies as further important dimensions of context that are relevant for understanding social enterprise and social innovation. As reflected in our opening discussion, while the effects of neo-liberal policies on social enterprise and innovation are debated, that political ideologies have an impact is certain, and it is likely that analyses of the effects of different policy environments, together with the socio-economic histories of nation-states on social enterprise and social innovations, will provide insights into additional contextual dimensions which have facilitated and restricted such activities. At a micro level we believe that the concepts of place and locale are of particular relevance to social enterprise and social innovation. As confirmed by the articles in this special issue, social enterprise and social innovation are often locally situated and targeted. Given this, and the locally embedded nature of social enterprises, studies which explore interactions between such ventures and their local environments are likely to be instructive, particularly for informing the design and implementation of local policies and interventions.

The process and practice of social entrepreneurship and social innovation

In common with 'mainstream' entrepreneurship, we support calls for research which opens the 'black box' of entrepreneurship: in this case, social entrepreneurship and social innovation. The articles in this special issue challenge the image of the entrepreneur as hero (Gabriel, 1995), and draw attention to the many individuals and organisations involved in the process of social entrepreneurship and

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social innovation including, for example, students, entrepreneurial philanthropists and non-governmental organisations (NGOs). These articles also highlight the benefits of a practice perspective for revealing routines essential to social innovation and community-based innovative philanthropic activities. We anticipate that understanding how best to encourage, support and sustain social enterprise and social innovation will benefit from investigations that make use of stakeholder (Matlay and Fayolle, 2010), relational (Hjorth, 2010) and network perspectives (Jack, 2010), which draw attention to the effects of embeddedness, social capital, legitimacy and bricolage to leverage the resources needed for socially enterprising behaviours.

Theoretical framing

Despite claims to the contrary, we do not regard social entrepreneurship as theoretically bereft (Nicholls, 2010); this is not to suggest that social enterprise and social innovation should possess or claim theories unique to themselves. Instead, we identify social science as providing a rich body of theories and concepts relevant for advancing theoretical and empirical analyses of social enterprise and social innovation specifically, and entrepreneurship more generally. Of particular relevance, we find embeddedness, agency and social capital useful for informing micro-level analysis of social enterprise and social innovation. At a macro level, while institutional theory (North, 1991) has been used as a conceptual lens to inform studies of mainstream entrepreneurial behaviours, it is likely that its applicability is also well suited to studies of social entrepreneurship and innovation.

Innovation outside the technology domain

Recognising that like their mainstream counterparts, not all social enterprises are innovative, we believe that more research on innovation outside of a traditional science and technology setting is warranted. However, in alignment with comments made regarding context and theory, we consider that by employing concepts well developed within the technology-innovation paradigm, meaningful insights into innovation within social settings can be acquired. For example, the system of innovations framework (Freeman, 1995; Lundvall, 1995) is likely to offer relevant insights into and inform knowledge about a 'systems of social innovations' framework. This has the potential to reveal both the actors and interactions involved in bringing social innovation to fruition, and also those gatekeepers responsible for social innovations which do not realise their possibilities. By working with colleagues in the fields of scientific and technological innovation, it is likely that understanding support for and restrictions on social innovation can be acquired and, as a consequence, policies, interventions and practices able to commercialise or bring to market, innovations appropriate for resolving complex social problems can be developed and enacted.

Emerging topics and developing methodologies

As a young field of scientific enquiry, social entrepreneurship and social innovation offer numerous possibilities for future areas of research, both in terms of topic and methodology. In particular, we identify eco-entrepreneurship motivated by environmental and social objectives, the involvement of young people and women, and the role of technology such as crowd sourcing for social objectives, as important topics of future research. Building on the work of Nicholls and Murdock (2012), we strongly believe that there is a need for greater reflexivity and critical consideration of socially entrepreneurial practices which extends to evaluate the impact and effectiveness of social enterprise and social innovation in developing solutions relevant to the multifaceted nature of

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social problems. Studies of social enterprise and social innovation lend themselves to a variety of methodological possibilities. Thus, large-scale quantitative studies which generate substantial data on the size, scale and impact of social enterprise and innovation are necessary; as discussed, without such data, comparative studies are impossible and policies are difficult to form. While recognising the value of quantitative studies which, it is argued, will push the field beyond description (Short et al., 2009), we see strong merit in longitudinal, case-based research able to explore the interplay between various dimensions of context and the process of social entrepreneurship and social innovation. Specifically, we recommend research approaches which combine the creation and sharing of large datasets with more innovative, multidisciplinary methods as appropriate for expanding our breadth of knowledge about these important phenomena, while avoiding the pursuit of narrow theoretical framing and methodological choices dominated by functionalism.

Social enterprise as mainstream

Social enterprise and the process of innovation for social purposes have a bright future: they are likely to flourish and prosper and, as they do, researchers, practitioners, policymakers and intermediary organisations are likely to learn more about entrepreneurs and the processes of entrepreneurship and innovation generally. While it may take time to recognise social enterprises as mainstream ventures – some of which will be entrepreneurial and engage in innovation, and some of which will not – it is likely that while waiting for this to happen, many for-profit organisations will learn from their social counterparts and be challenged by the effectiveness of their pursuit of dual, sometimes triple objectives. Going further, we concur with Porter and Kramer (2011) on the promise of 'shared value': the generation of economic and societal value for social enterprises and profit-oriented businesses alike. Social enterprises embracing shared value creation can scale up more rapidly than their pure social programme counterparts, and often are adept at catalysing multi-sector partnerships for greater impact at less cost. In particular, we are convinced that as a model for creating economic and social wealth, social enterprises have the potential to play centre stage rather than offer marginal contributions to global prosperity. Moreover, we find the Porter and Kramer (2011) belief that the new shared value model, and its drive of new and heightened forms of collaboration that will blur sector boundaries, to be a realistic scenario. With social enterprises as key players, this will usher the next wave of global innovation and productivity, and encourage reflection and reconsideration of the merits of capitalism.

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